Advanced Assurance Workshop 2

Welcome to class



Introduction

Expectations for the day

- Second AA workshop – ask questions throughout the day
- You should have completed Modules 4 – 6 on your own prior to class
- Have all materials on hand (including laptop, course materials, calculator, pen, etc)
- Active participation expected in class
- Professionalism
- No phones during class time

Timetable

- Class starts at 09:30 – please ensure you are in class and ready to start
- Class finishes by around 16:30
- You will also have a morning break, afternoon break and lunch

Introduction

Modules covered so far

- Module 1: Professional Ethics
- Module 2: Evaluating Data Integrity
- Module 3: Audit Acceptance and continuance
- Module 4: Audit Planning (Lesson 1 – 2)

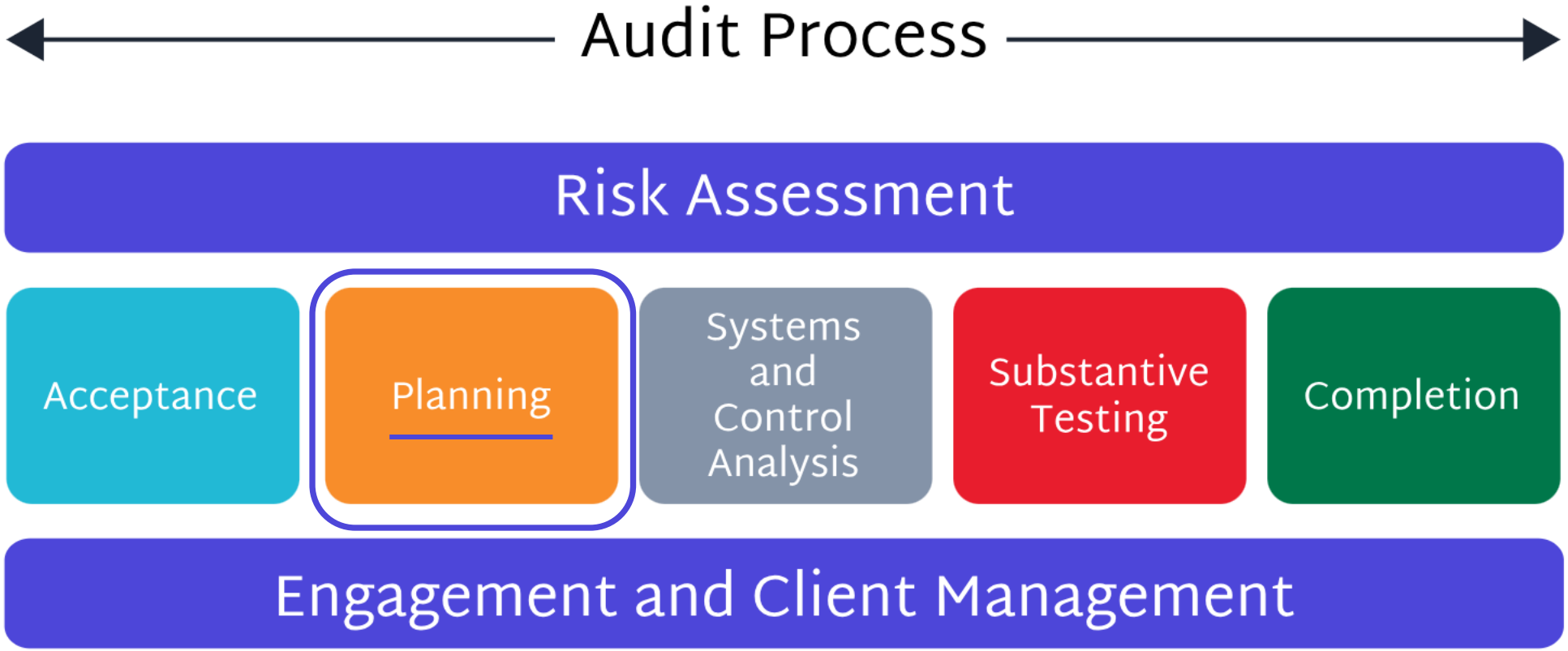
Modules covered in this workshop

- Module 4: Audit Planning (Lesson 3 onwards)
- Module 5: Specific Risk areas and the Impact on the Audit
- Module 6: Internal Controls Testing

Module 4
Audit Planning



Stages of the audit



Recap from workshop 1



It’s quiz time….

Thinking back to Workshop 1… Let’s test your knowledge

Which risk applies?

Question 1

QUESTION

The audit team have not been able to perform client identification procedures on one of the audit client directors.

A) Audit risk

B) Business risk

C) Acceptance/continuance risk

D) All of the above

Question 1

ANSWER

The audit team have not been able to perform client identification procedures on one of the audit client directors.

A) Audit risk

B) Business risk

C) Acceptance/continuance risk

D) All of the above

Client identification procedures are an ethical requirement, as well as a risk assessment procedure. The auditor must obtain evidence of the full name and address of all directors.

Question 2

QUESTION

A company is launching a new product line, which is predicted to increase sales by 5% per annum. This line may not be successful and not give the predicted return on investment.

A) Audit risk

B) Business risk

C) Acceptance/continuance risk

D) All of the above

Question 2

ANSWER

A company is launching a new product line, which is predicted to increase sales by 5% per annum. This line may not be successful and not give the predicted return on investment.

A) Audit risk

B) Business risk

C) Acceptance/continuance risk

D) All of the above

This is unlikely to be an audit risk as it does not appear that the new product line would be fundamental to the continuation of the business i.e. going concern.

Question 3

QUESTION

A potential new client is in a net liability position and has lost 50% of its market share due to the emergence of a key competitor.

A) Audit risk

B) Business risk

C) Acceptance/continuance risk

D) All of the above

Question 3

ANSWER

A potential new client is in a net liability position and has lost 50% of its market share due to the emergence of a key competitor.

A) Audit risk

B) Business risk

C) Acceptance/continuance risk

D) All of the above

There is a business risk that the company cannot continue as a going concern, which results in an audit risk. There is an acceptance risk that the new client will not be able to pay the audit fee, and that the audit firm may suffer reputational damage due to association with a failing business.

Question 4

QUESTION

The auditor misinterprets the results of an audit procedure.

A) Audit risk

B) Business risk

C) Acceptance/continuance risk

D) All of the above

Question 4

ANSWER

The auditor misinterprets the results of an audit procedure.

A) Audit risk

B) Business risk

C) Acceptance/continuance risk

D) All of the above

This is an example of detection risk, a component of audit risk.

Question 5

QUESTION

A customer returned a large quantity of bespoke goods prior to the audit client's year end.

A) Audit risk

B) Business risk

C) Both

D) Neither

Question 5

ANSWER

A customer returned a large quantity of bespoke goods prior to the audit client's year end.

A) Audit risk

B) Business risk

C) Both

D) Neither

There is a business risk that the audit client will not be able to resell the bespoke goods.
This creates an audit risk that inventory is overstated at the year end.

Question 6

QUESTION

A small company does not have an internal audit function.

A) Audit risk

B) Business risk

C) Both

D) Neither

Question 6

ANSWER

A small company does not have an internal audit function.

A) Audit risk

B) Business risk

C) Both

D) Neither

There is no statutory requirement for most small companies to have an internal audit function. Therefore, the lack of an internal audit function does not in itself create a business risk or an audit risk, if the company has other effective internal controls.

Planning analytical review

- Mandatory risk assessment procedure
- Common techniques: comparison, ratio analysis and reasonableness tests
- The **3-step process** to follow:
  - Auditor will develop an **expectation**
  - Results can be **compared** to the expectation
  - Investigation of variances over a set **threshold**

Group Activity

Task: Planning Analytical Review

See document, ‘planning analytical review’, on Advantage

Planning analytical review

AA Workshop 2



Tutor Debrief

- Form an expectation of values for: Sales, COS, Gross Profit, Gross Profit margin
- Review values for –
  - Sales,
  - GP Margin,
  - Trade Receivables
  - Bank loan.

Expectation – YE 31/12/20X3			
Sales =	£19,000 / 10 * 12	=	£22,800
COS =	£13,000 / 10 *12	=	£15,600
Gross profit		=	£7,200
GP margin		=	32%

Group Activity

Task: Developing an expectation

Developing an expectation

AA Workshop 2



Developing an expectation
Planning for year ending 31 December 20X4

	Actual 20X3
Total Revenue	£4,750,000
Total Payroll	£2,135,000

- A new contract was won commencing 1 April 20X4 which will increase monthly revenues by 20% on 20X3
- A key product, accounting for 7% of 20X3 revenue was discontinued from 1 January 20X4
- Average head count for 20X3 was 70 staff; for 20X4 this is 80 staff
- All staff received a 4% pay increase at the start of the year.
- In addition to the 80 staff above, a new director has been employed from 1 July 20X4 on a salary of £120k per annum

Developing an expectation
Planning for year ending 31 December 20X4

Revenue expectation

What do you expect total revenue for the year ending 31 December 20X4 to be, based on the information given?

A) £5,225,000

B) £5,462,500

C) £5,130,000

D) £4,750,000

Developing an expectation
Planning for year ending 31 December 20X4

Revenue expectation

What do you expect total revenue for the year ending 31 December 20X4 to be, based on the information given?

A) £5,225,000

B) £5,462,500

C) £5,130,000

D) £4,750,000

Revenue increases with new contract = 20% from April = £950k * 9/12 months = £712,500 increase
Revenue decrease from discontinued product = 7% for full year = £332,500 decrease
Expected 20X4 revenue = £4,750,000 + £712,500 - £332,500 = £5,130,000

Developing an expectation
Planning for year ending 31 December 20X4

Payroll expectation

What do you expect total payroll for the year ending 31 December 20X4 to be, based on the information given?

A) £2,597,600

B) £2,560,000

C) £2,440,000

D) £2,255,000

Developing an expectation
Planning for year ending 31 December 20X4

Payroll expectation

What do you expect total payroll for the year ending 31 December 20X4 to be, based on the information given?

A) £2,597,600

B) £2,500,000

C) £2,440,000

D) £2,255,000

Payroll increases due to higher headcount = £2,135k / 70 people = £30.5k * 80 people = £2,440,000
Pay increase of 4% = £97,600
Payroll increase due to new director = £120k * 6 months = £60,000
Expected 20X4 payroll = £2,440,000 + £97,600 + £60,000 = £2,597,600

Developing an expectation Calculations

When forming an expectation, consider:

- The period the information is for – annual, quarterly monthly.
  - 90/360 v 92/365 v 3/12
- Has there been a rate change in the year
- If the balance is not in GBP which FX rate has been used

Planning analytical review
Assessment approach

1. Read the scenario, highlight key information and if required, **create an expectation** using the information available.

2. **Analyse the movements**, attempting where possible, to explain the changes using the information in the scenario.

3. Using the results of your analysis in Step 2, **identify and evaluate potential audit risks** that would require further investigation by the audit team.

Planning analytical review – Question

PH Technology

Planning analytical review
PH Technology

Requirement 1:

For the **eight month period** to 31 May 20X3, calculation an **expectation** of the total revenue of PH Technology and the **deviation**, if any, against the actual figure provided by the client

- Expectation should be created for the eight month period
- Compare expectation against actuals and note any variance

Tutor debrief

Developing an expectation Different calculations -

	8m actuals to 31 May 20X3	Actual 30 Sept 20X2 (12m)
Transaction fees	1,472,000	955,000

- As a new customer promotion, transaction fees are waived in the first year of the contract. All five new customers have qualified for this promotion.
- On 1 December 20X2 Brilliant Breaks Ltd, acquired a competitor, Happy Holidays Ltd. Happy Holidays are a similar size to Brilliant Breaks and therefore anticipated to have similar annual transaction numbers.
- On 1 December 20X2 transaction fees per booking increased from 25p to 40p. This is the first time in three years that fees have been increased.
- Overall transaction numbers for 20X2-X3 for customers are forecast to remain at a similar level to year ended 30 September 20X2. The table below provides details of the transactions for year ended 30 September 20X2:

	No. of transactions
Brilliant Breaks	1,500,000
Other customers	2,320,000
Total	**3,820,000**

Developing an expectation Different calculations -

	No. of transactions
Brilliant Breaks	1,500,000
Other customers	2,320,000
Total	**3,820,000**

	8m actuals to 31 May 20X3	Actual 30 Sept 20X2 (12m)
Transaction fees	1,472,000	955,000

Option 1:

	Transaction numbers	**Transaction fees**	
Brilliant Breaks	1,000,000	362,500	**(2 marks)**
Happy Holidays	750,000	300,000	**(2 marks)**
Other customers	1,546,667	560,667	**(2 marks)**
Expectation in 20X3	3,296,667	**1,223,167**	**(1 mark)**

Workings

Brilliant breaks – 2/12* 1,500,000 @ 25p plus 6/12*1,500,000 @40p = £362,500

Happy holidays – 6/12*1,500,000 @ 40p = £300,000

Other customers - 2/12*2,320,000 @ 25p plus 6/12*2,320,000 @40p = £560,667

Developing an expectation Different calculations -

	No. of transactions
Brilliant Breaks	1,500,000
Other customers	2,320,000
Total	**3,820,000**

	8m actuals to 31 May 20X3	Actual 30 Sept 20X2 (12m)
Transaction fees	1,472,000	955,000

Option 2:

	£	
PY 12 month	955,000	
Adjusted for 8 months (955k*8/12)	636,667	**(1 mark)**
Additional Happy Holidays (Note A)	300,000	
Additional revenue from price increase (Note B)	286,500	
Total revenue	1,223,167	**(1 mark)**

Note A: Happy Holidays

Transactions (6/12 * 1,500k)	750,000	**(1 mark)**
Revenue at 40p per transaction	£300,000	**(1 mark)**

Note B: Additional revenue from price increase

Transactions subject to increase from 1 Dec (6/12 * 3,820k)	1,910,000	**(1 mark)**
Additional revenue at 15p per transaction	£286,500	**(2 marks)**

Developing an expectation Different calculations -

	No. of transactions
Brilliant Breaks	1,500,000
Other customers	2,320,000
Total	**3,820,000**

	8m actuals to 31 May 20X3	Actual 30 Sept 20X2 (12m)
Transaction fees	1,472,000	955,000

Option 3:

	£	
Additional Happy Holidays (Note A)	300,000	
All others (Note B)	923,167	
Total revenue	1,223,167	**(1 mark)**

Note A: Happy Holidays

Transactions (6/12 * 1,500k)	750,000	**(1 mark)**
Revenue at 40p per transaction	£300,000	**(1 mark)**

Note B: Additional revenue from price increase

Transactions at 25p price (2/12*3,820k)	636,667	**(1 mark)**
Revenue at 25p per transaction (636k*.25)	£159,167	**(1 mark)**
Transactions at 40p price (6/12*3,820k)	1,910,000	
Revenue at 40p per transaction (1,910k*.4)	£764,000	**(1 mark)**
Total revenue for 8 months (£159k+£764k)	£923,167	**(1 mark)**

Planning analytical review
PH Technology

Requirement 2:

Evaluate the results of the audit data analytic exercise and your calculations for question 1 for the purpose of the **planning analytical review** (note: no further expectations are required to be calculated).

- Evaluate results – in line with expectation or variance?
- Any reason from the question which could potentially explain the variance?
- Is there an audit risk (risk of material misstatement) – e.g. overstatement / understatement?

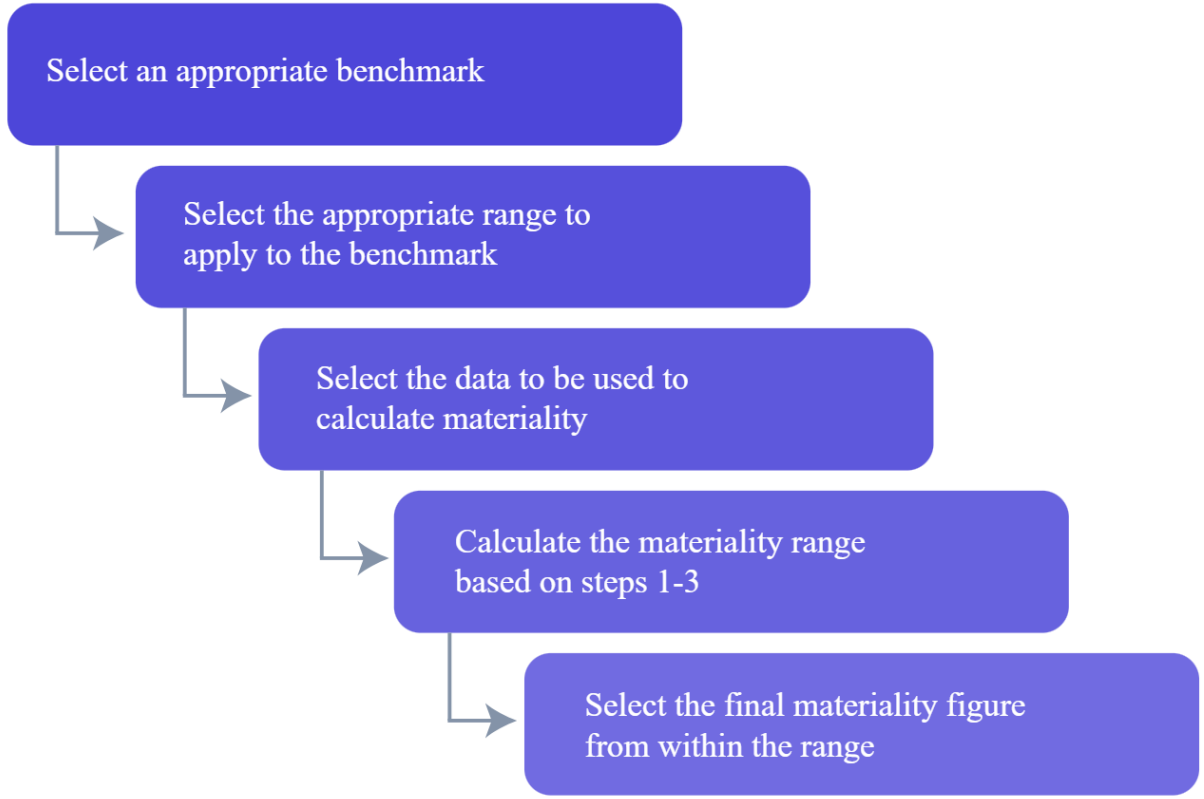
Tutor debrief

Materiality

- ISA (UK) 320, an item is said to be material if its misstatement or omission could reasonably be expected to influence the economic decisions of users.
- Auditor must quantify what is **material**
  - Calculated at the start of the audit and revised throughout the process.
- Materiality is required to establish the overall audit strategy and plan to gather **sufficient appropriate evidence**
- Overall materiality – **five step approach** to set
- Performance materiality – 50%-75% of Overall Materiality but **requires professional judgement**.

Materiality
Five-step approach

- **Step 1: Select an appropriate benchmark**
  - Profit before income taxes, Operating expenses, Revenue, Total Assets, Net Assets
- **Step 2: Select the appropriate range**
  - Profit before income taxes (5-10%), Operating expenses (0.5-2%), Revenue (0.5-2%), Total Assets (0.5-2%), Net Assets (0.5-5%).
- **Step 3: Select the data to be used**
  - The data the auditor believes represents the expected actual financial statement figures
- **Step 4:Calculate the materiality range**
- **Step 5: Select the final materiality figure within the range**
  - This will depend on the risk within the entity.



Group Activity

Task: Materiality Setting

See document, ‘materiality setting’, on Advantage

Materiality setting

AA Workshop 2



Module 5
Specific Risk areas and the Impact on the Audit

Group Activity

Task: Specific Risk Areas

Presentations

Specific risk areas

AA Workshop 2



Laws and regulations

Related parties

Accounting estimates

Work of experts

Service organisations

Internal audit

Specific Risk areas and the Impact on the Audit



It’s quiz time….

Thinking about Module 5… Let’s test your knowledge

Question 1

QUESTION

TRUE or FALSE

Compliance with laws and regulations is the responsibility of the auditors, not management.

Question 1

ANSWER

FALSE

Compliance with laws and regulations is the **responsibility of management**, not auditors.

It is the responsibility of **management** to ensure that the entity's operations are conducted in accordance with applicable laws and regulations and to implement procedures to prevent and detect any non-compliance.

The auditor must plan and perform the audit, recognising that **non-compliance** by the entity with law or regulations **may materially affect the financial statements**. Non-compliance may affect the entity's ability to continue as a going concern, result in liabilities from fines or litigation that needs to be recorded or disclosed or represent a breach of a required financial reporting disclosure.

Question 2

QUESTION

Which of the following matters may be an indication of non-compliance with laws and regulations. Select all that apply.

A) Payments for unspecified services to consultants, related parties, employees or government employees.

B) Payments for legal advice.

C) Unusual transactions with companies registered in tax havens

D) Payments with proper exchange control documents.

Question 2

ANSWER

Which of the following matters may be an indication of non-compliance with laws and regulations. Select all that apply.

A) Payments for unspecified services to consultants, related parties, employees or government employees.

B) Payments for legal advice.

C) Unusual transactions with companies registered in tax havens

D) Payments with proper exchange control documents.

ANSWER - A and C. When performing risk assessment procedures, auditors must consider whether there are any **indications of non-compliance** with laws and regulations. The auditor should obtain audit evidence to support compliance with the laws and regulations that have a direct impact of the financial statements.

Question 3

QUESTION

According to ISA (UK) 540 (Revised), an accounting estimate is a monetary amount for which the measurement, in accordance with the requirements of the applicable financial reporting framework, is subject to estimation uncertainty. Which of the following are examples of accounting estimates.

A) Provisions relating to inventories and receivables.

B) Depreciation of tangible assets

C) The calculation of amounts due for Trade Payables.

D) Fair value of assets or liabilities acquired in a business combination.

Question 3

ANSWER

According to ISA (UK) 540 (Revised), an accounting estimate is a monetary amount for which the measurement, in accordance with the requirements of the applicable financial reporting framework, is subject to estimation uncertainty. Which of the following are examples of accounting estimates.

A) Provisions relating to inventories and receivables.

B) Depreciation of tangible assets

C) The calculation of amounts due for Trade Payables. – recorded based on invoice.

D) Fair value of assets or liabilities acquired in a business combination.

Question 4

QUESTION

ISA 550 states that a related party is an individual or entity that is related to the entity that is preparing its financial statements (the reporting entity) Which of the follow are related party relationships. Select all that apply.

A) An individual (or close family member of the individual) who controls or jointly controls an entity (ie a major shareholder).

B) An individual (or close family member of the individual) who has a limited influence over an entity (ie a minor shareholder).

C) An individual (or close family member of the individual) who is a team member of an entity or the entity's parent company.

D) All entities within the same group, or associates and joint ventures related to the group.

Question 4

ANSWER

ISA 550 states that a related party is an individual or entity that is related to the entity that is preparing its financial statements (the reporting entity) Which of the follow are related party relationships. Select all that apply.

A) An individual (or close family member of the individual) who controls or jointly controls an entity (ie a major shareholder).

B) An individual (or close family member of the individual) who has a limited influence over an entity (ie a minor shareholder). – **Incorrect**. It is an individual with a significant influence

C) An individual (or close family member of the individual) who is a team member of an entity or the entity's parent company. – I**ncorrect**, it is key management personnel ie an executive or non-executive director.

D) All entities within the same group, or associates and joint ventures related to the group.

Question 5

QUESTION

As per ISA (UK) 500, when information to be used as audit evidence has been prepared using the work of a management expert, the auditor shall: (Select all that apply)

A) Evaluate the competence, capabilities and objectivity of that expert

B) Advise the management expert of the technical standards to be used.

C) Understand the work of the expert

D) Provide the management team with the data to use

E) Evaluate whether that expert's work is appropriate as audit evidence

Question 5

ANSWER

As per ISA (UK) 500, when information to be used as audit evidence has been prepared using the work of a management expert, the auditor shall:

A) Evaluate the competence, capabilities and objectivity of that expert

B) Advise the management expert of the technical standards to be used.

C) Understand the work of the expert

D) Provide the management team with the data to use

E) Evaluate whether that expert's work is appropriate as audit evidence

Question 6

QUESTION

TRUE or FALSE

As per ISA (UK) 610, with regards to internal audit, direct assistance is prohibited in the UK. The external auditor, offering direction, supervision and review assistance cannot use the internal auditor function to perform audit procedures.

Question 6

ANSWER

TRUE or FALSE

As per ISA (UK) 610, with regards to internal audit, direct assistance is prohibited in the UK. The external auditor, offering direction, supervision and review assistance cannot use the internal auditor function to perform audit procedures.

Laws and regulations

Non-compliance may materially affect the financial statements through:

- Uncertainty over going concern
- Fines or litigation that require adjustment or disclosure
- A breach of a required financial reporting disclosure

Compliance is the responsibility of management, not auditors

Direct effect	Laws and regulations that have a direct effect on the determination of material amounts and disclosures in the financial statements. The auditor's responsibility is to obtain sufficient appropriate audit evidence regarding compliance with the provisions of these laws and regulations.
Do not have a direct effect	Other laws and regulations that do not have a direct effect on the financial statements but compliance with which may be fundamental to operations of the business or non-compliance may result in material penalties or the entity failing to continue in the foreseeable future. The auditor's responsibility is limited to undertaking specified audit procedures to help identify non-compliance with those laws and regulations that may have a material effect on the financial statements.

Auditor's consideration of compliance	• Auditors must gain understanding of the legal and regulatory framework and how entity complies • Enquire with management/ inspect correspondence with relevant authorities • Obtain written representations • Remain alert
Audit procedures where non-compliance is identified	• Understand situation • If suspicions of money laundering, needs to be reported to audit firm's money laundering reporting officer • Evaluate the possible effect of non-compliance on the financial statements • Discuss with management (unless prohibited by law) • Evaluate the implications of non-compliance in relation to other aspects of the audit

A number of entities will have very specific laws and regulations that the auditor needs to be aware of as part of their understanding of the entity e.g.public sector bodies such as local authorities.

Related parties

- ISA (UK) 550

- A related party is an individual or entity that is related to the entity that is preparing its financial statements. A related party relationship in the following situations:
  - An individual (or close family) who controls or jointly controls an entity
  - An individual (or close family)who has significant influence over an entity
  - An individual (or close family) who is a key management personnel of an entity
  - All entities within the same group, or associates and joint ventures related to the group
  - An entity and its pension plan
  - Two entities that are connected through an individual with control or significant influence.
  - An entity provides key management personnel services to another

- Increased risk of material misstatement in FS if:
  - There can be extensive and complex relationships and structures in place
  - Information systems may not effectively identify or summarise transactions
  - Related party transactions may not be conducted under normal market terms and conditions (i.e. without exchange of consideration)

Related parties

Auditor's objectives	• Understand related party relationships • Recognise fraud risk factors • Conclude on fair presentation of FS • Obtain evidence of correct identification and disclosure of related parties
Audit procedures	• The engagement team discussion considering the ROMM due to related party relationships. • Enquiring of management about related party relationships • Understanding the controls over identifying, accounting for, disclosing and authorising related party transactions. • Remaining alert for evidence of related parties throughout the audit when inspecting records and documents. • Inspecting bank and legal confirmations and board minutes for evidence of related parties. • Inspect income tax returns, shareholder registers, records of the entity's investments, life insurance policies, etc. • Understanding related party transactions outside the entity's normal course of business.
Risk assessment	• Auditors to assess if identified related parties pose significant risk The following would automatically be significant risks: • Significant related party transactions outside the entity's normal course of business • Fraud risk factors identified when understanding related party relationships, including a related party with a dominant influence.
Responses to risk of material misstatement	• If assessed risk is low: • Test whether these controls were operating effectively • Perform substantive analytical review of the transactions and balances

Other requirements:

- Obtain written representations that management has disclosed to the auditor and accounted for and disclosed all related party relationships and transactions in the financial statements.
- Communicate with those charged with governance any significant matters in relation to related parties.
- Document the names of identified related parties and the nature of related party relationships

Accounting estimates

- ISA (UK) 540
- A monetary amount for which the measurement, in accordance with the requirements of the applicable financial reporting framework is subject to estimation uncertainty
- Examples include provisions related to inventories and receivables, impairment of intangible assets and valuation of financial instrument

Audit procedures	There are various ways the auditor may obtain evidence, including: • An evaluation of the process for preparing the accounting estimate, including the selection of the method, experience of the preparer, assumptions and data used. • Audit of the calculation of management's point estimate. • Review of the disclosures about the accounting estimate, including disclosures about how the accounting estimate was developed and the nature, extent, and sources of estimation uncertainty.
Risk assessment	Auditors must obtain an understanding of matters related to accounting estimates, including: • The entity's environment and applicable financial reporting framework (connected to inherent risk) • The system of internal control (connected to control risk), which includes: – The client's own risk assessment process – Management experts and the use of specialised skills – The entity's information system – How management reviews the outcome of past estimates The likelihood and magnitude of potential misstatement is impacted by: • **Estimation uncertainty** - accounting estimates are an approximation, and their measurement is uncertain. Higher degree of estimation uncertainty will result in higher risk • **Subjectivity, including management bias** – management uses judgement when developing assumptions, interpreting data and selecting measurement. The higher the level of subjectivity, the greater the risk of material misstatement • **Complexity** - determination of certain accounting estimates can be complex if they require the use of methods or models that require specialised skills or knowledge in relation to their valuation.

Responses to risk of material misstatement	• **Obtaining evidence from events occurring up the date of the auditor's report** - e.g. reviewing a post-year end event such as settlement of a legal case • **Testing how management made the accounting estimate** - includes assessing if the method and assumptions are appropriate, the data is relevant and reliable and if there are any indications of management bias • **Developing the auditor's point estimate or auditor's range of estimates** – the auditor may form their own estimate to assess the reasonableness of managements estimate

Work of experts

- ISAs (UK) 500 and 620

- Employ someone with expert knowledge in an area other than audit and accounting. May include valuation of certain assets, actuarial valuations or impact of climate related risks

- Employed/contracted by:
  - Client (management's expert) (ISA (UK) 500)
  - Auditor (auditor's expert) (ISA (UK) 620)

Work of experts

Management's expert

Evaluate the competence, capabilities and objectivity of that expert	Consider: • Experience of the expert • Discussions with others familiar with the expert's work • Professional certification or membership of a professional body or professional qualifications • The use of technical standards by the expert • The relevance of the expert's field and familiarity with applicable accounting standards • Any threats to objectivity, such as personal and business relationships, and corresponding safeguards
Understand the work of the expert	Consider: • Whether the expert's field has areas of speciality that are relevant to the audit • Whether standards or legal requirements apply • What assumptions and methods are used by the management expert and whether these are generally accepted for financial reporting purposes • The nature of the data or information the expert uses
Evaluate whether that expert's work is appropriate as audit evidence	Consider: • The relevance and reasonableness of assumptions and methods used • Source data used and whether it is relevant, complete and accurate • The relevance and reasonableness of the expert's findings and conclusions and their consistency with other audit evidence

Work of experts

Auditor's expert

In determining the need for an auditor's expert consider:

- Have management used an expert
- Nature, significance, complexity of matter
- Risk of material misstatement
- Expected nature of procedures

Specific auditor's procedures:

- Evaluate competence, capabilities and objectivity
- Understand field of expertise
- Agree work to be performed
- Evaluate adequacy of auditor's experts work
- Do not refer to expert in auditor's report

Tutor tip

You may receive information in the scenario about asset valuations, stock items that require estimation, stage of completion for construction contracts, legal cases etc. These are likely to be areas that are complex, judgemental or involve estimation and therefore there is an audit risk that the amounts are misstated. The complexities arising from the audit of accounting estimates were discussed in previous lessons. An appropriate audit response may be to use an expert, in which case you will refer to ISA (UK) 500 *Audit Evidence* or ISA (UK) 620 *Using the Work of an Auditor's Expert.*

Service organisations

- ISA (UK) 402

- A service organisation is a third-party organisation that provides services to user entities that are part of the financial reporting process e.g. payroll processing

- A user entity is an entity that uses a service organisation whose financial statements are being audited e.g. the audit client

- Auditor to understand how an entity uses a service organisation:
  - Nature and significance of services
  - Nature and materiality of accounts processed
  - Interaction with/delegation to service organisation
  - Contractual terms/service level agreements

- Auditor to evaluate design of controls audit client implements over service organisation, including if necessary
  - Report from service organisation's auditor
  - Contact the service organisation
  - Visit and perform test of controls
  - Using another auditor

Service organisations

Auditor's objectives	• To obtain an understanding of the nature and significance of the services provided by the service organisation and the effect on the risk of material misstatement • To design and perform audit procedures to respond to those risks of material misstatement.
Risk assessment	Determine whether sufficient, appropriate evidence is available from records held at the user entity Perform further audit procedures to obtain sufficient appropriate audit evidence or use another auditor to perform those procedures at the service organisation
Responses to risk of material misstatement	• Tests of controls/ substantive testing at client To obtain evidence that controls at service organisation operated effectively: • Report from service organisation's auditor • Visit and perform test of controls • Using another auditor to test controls – Type 1 or Type 2 report

Relying on the work of a service auditor

In order to rely on a service auditor's report, the auditor must:

- be satisfied of service auditors competence/independence
- be satisfied of adequacy of standards used
- be satisfied that sufficient appropriate evidence over the design and operating effectiveness of service organisation's control activities can be obtained

The auditor will not refer to the work of a service auditor in the audit report unless it is relevant to the understanding of a modified audit opinion

Internal audit

- ISA (UK) 610
- Direct assistance is prohibited in the UK. This is the use of the internal auditor function to perform audit procedures under the direction, supervision and review of the external audit

Auditor's objectives	• Determine whether IA work performed can be used and if so in what area and to what extent • Determine whether the IA work is adequate for purposes of the external audit
Audit planning	The IA function should be assessed considering: • Objectivity • Technical competence • Systematic and disciplined approach Restrict use of IA where: • High areas of judgement • High risk of material misstatement for particular accounts • Concerns over IA effectiveness
Timing and liaison	• The extent of the use of internal audit must be agreed in advance with management, the directors or the audit committee, as appropriate. • The testing and sampling methods to be carried out and the documentation to be produced should all be agreed in advance, as should the timing of procedures and deadlines.
Procedures to determine the adequacy of work of the internal audit function	• Making enquiries of internal audit staff • Observing procedures performed by the internal audit function • Reviewing the internal audit function's work programme, working papers and reports • Reperforming tests already performed by internal audit

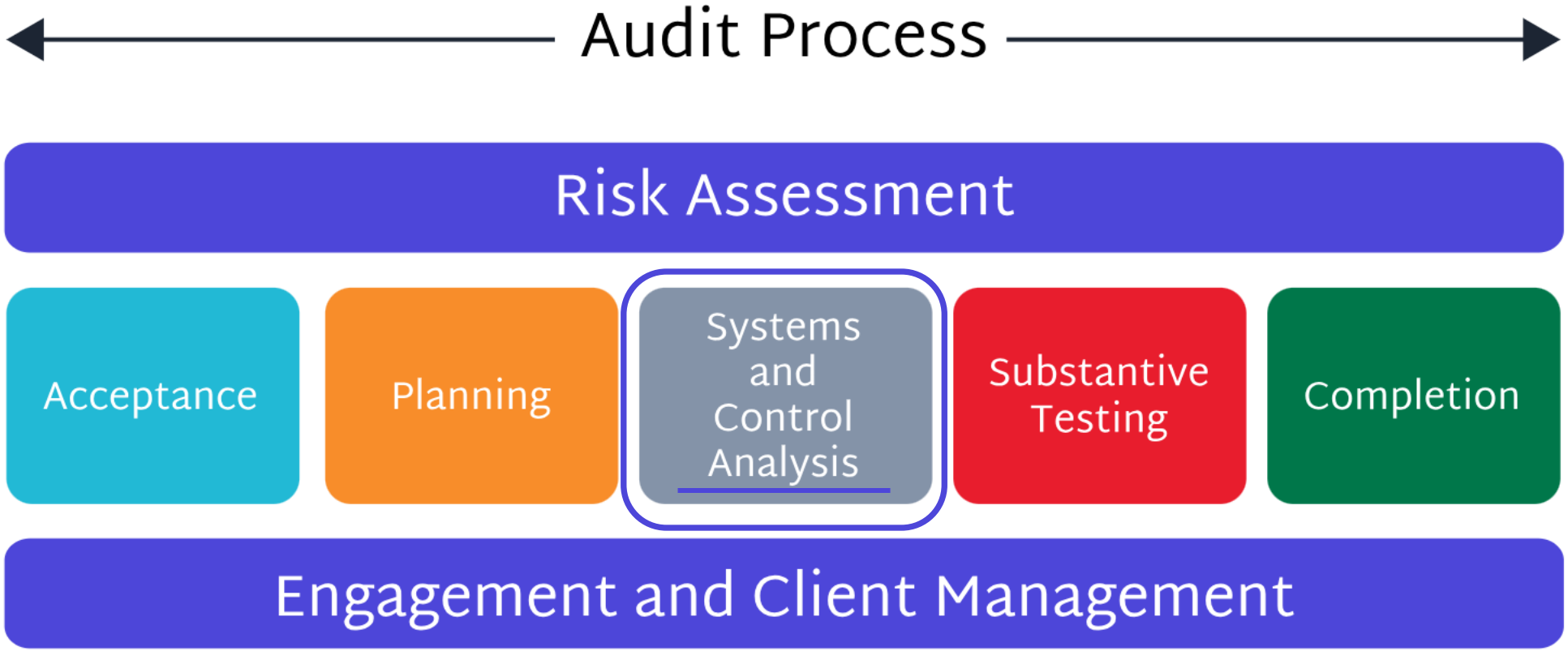
Internal audit

Considerations for objectivity, competence and a systematic and disciplined approach include:

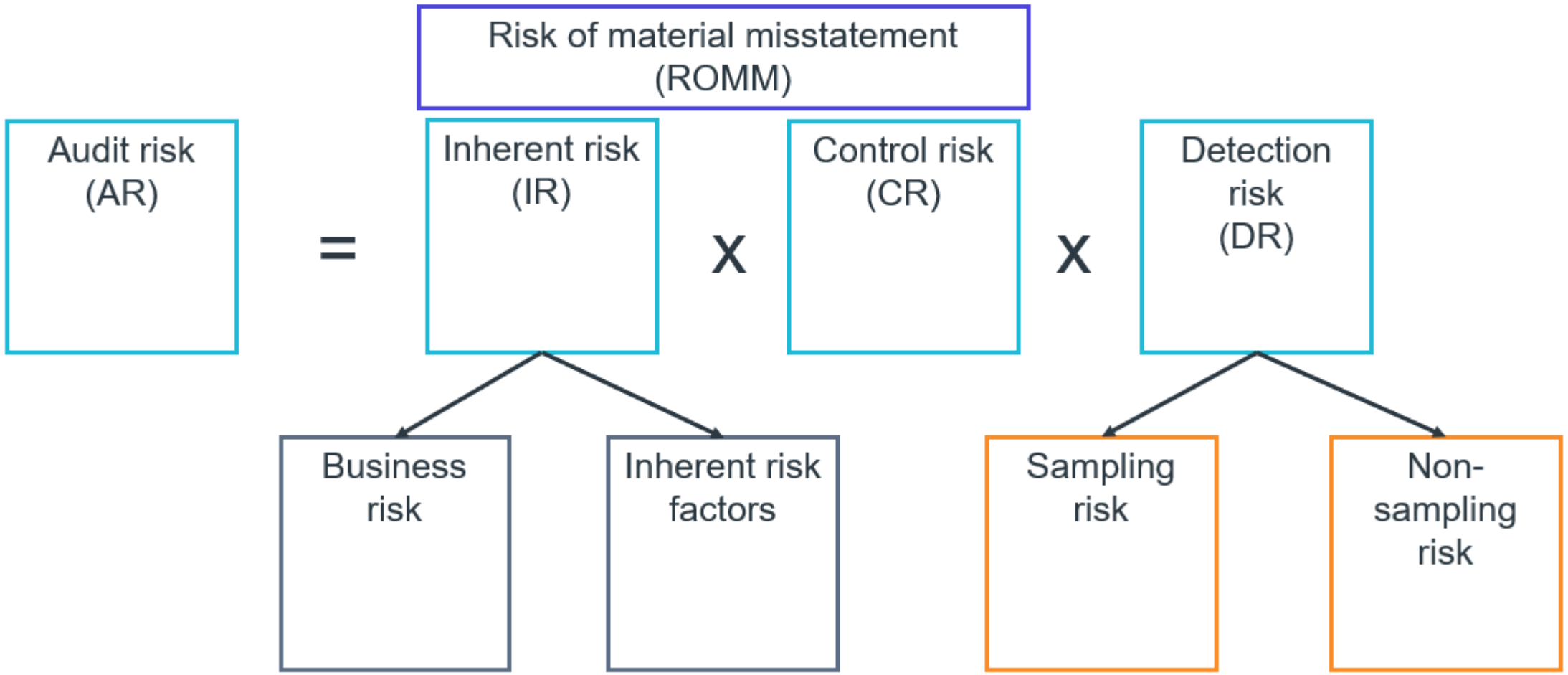
- The status of the internal audit function
- Whether internal auditors are free of conflicting responsibilities
- Constraints or restrictions on internal auditors
- Membership of internal auditors of relevant professional bodies
- Whether the internal audit function is adequately and appropriately resourced based on the size of the entity and the nature of its operations
- Appropriate knowledge/training/qualifications
- Use of documented internal audit procedures or guidance
- Existence of quality control procedures on internal auditors' work

Module 6
Internal Control Testing

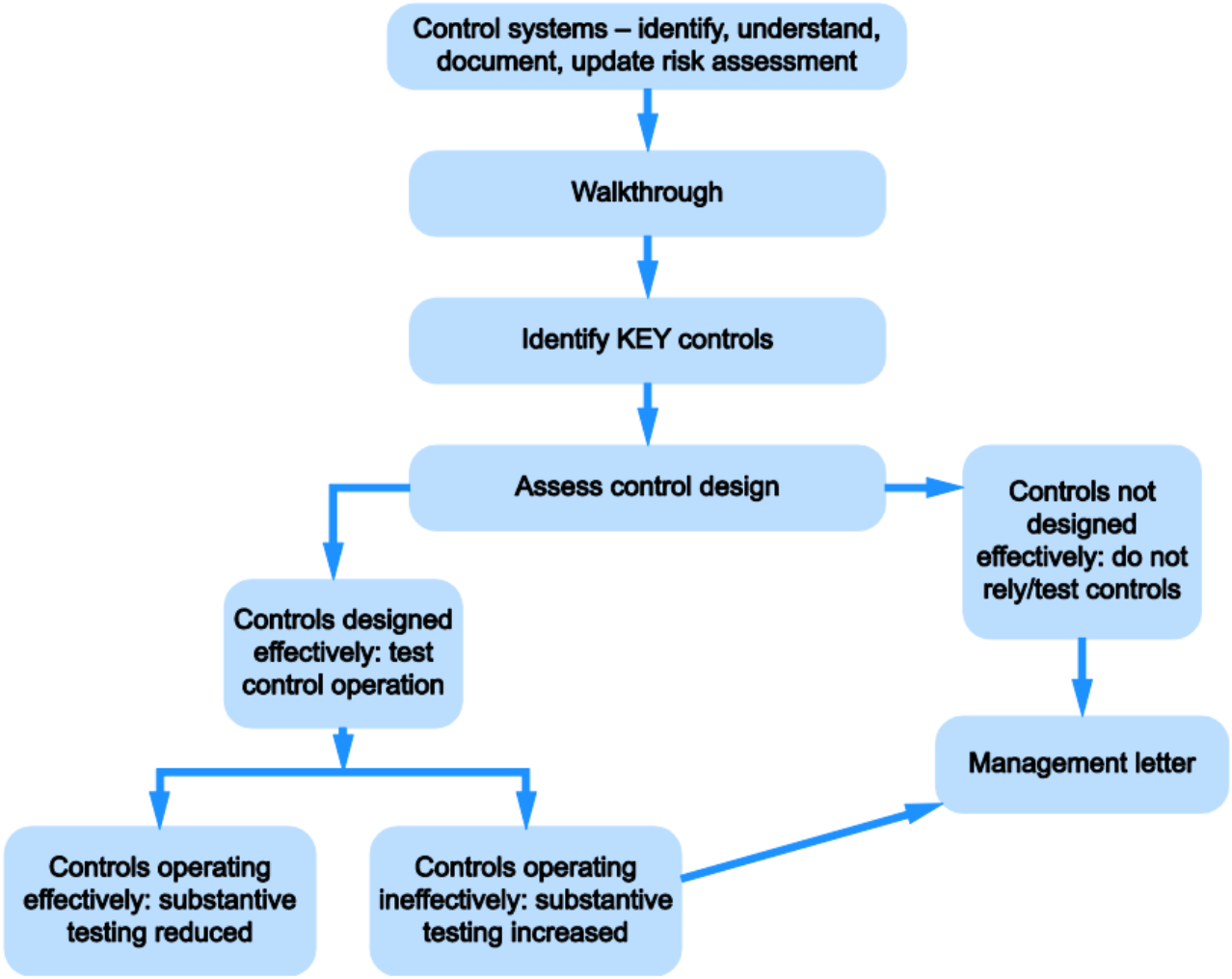
Stages of the audit



Audit risk equation



Systems and control analysis



Internal control testing

Auditors must assess the design and operating effectiveness of controls. They do this by:

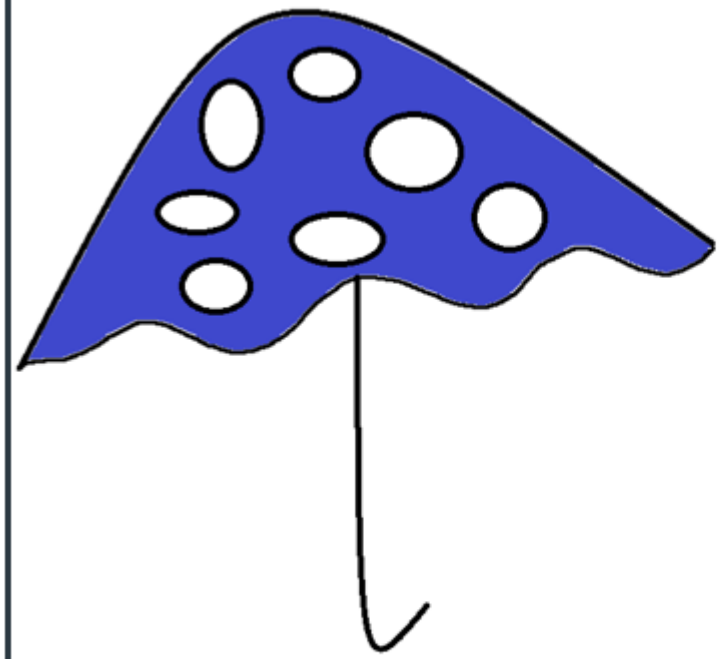
1. Evaluating the design and implementation of controls
2. Testing whether the controls operated effectively throughout the year

A **key control** is one which is relevant to preventing or detecting and correcting material misstatements in the financial statements. If it is not designed effectively, it cannot operate as a key control

Auditors must test the control in operation throughout the whole period under review

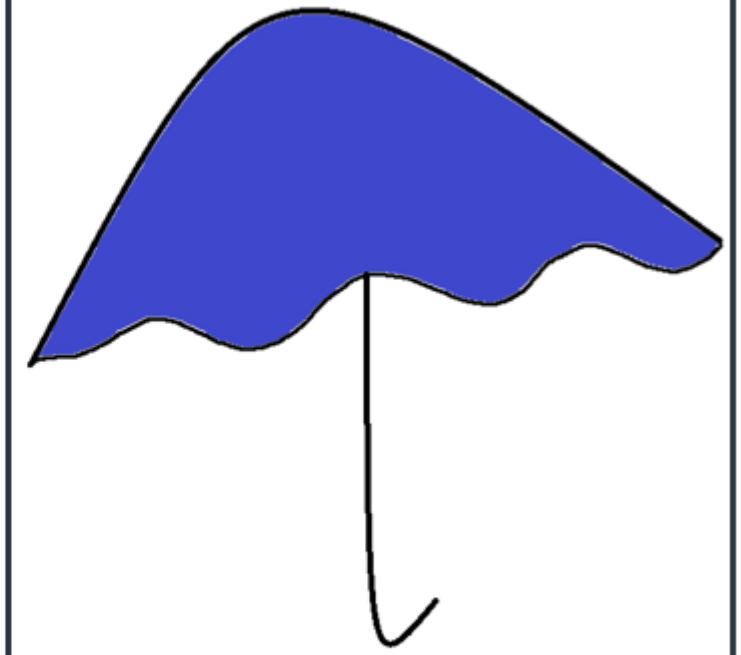
The auditor may use CAATs and ADAs to assist with control testing

Control activities – Key controls



Badly designed

Not operating



Well designed and operating in the period

Design a test of control

To identify controls which are relevant to the auditor, you should think about whether the control is useful in preventing or detecting material misstatements, and whether the control is designed effectively.

When designing a test of control, include the following:

1. A technique (e.g. inspect, enquiry, observation, re-performance)

2. The control you are looking at (e.g. sample of timesheets)

3. What you are looking for (e.g. the department manager's signature to provide evidence that hours are reviewed and authorised)

Design a test of control - activity

Write a test of control for the following:

- GDNs are marked as ‘invoiced’ once invoiced, and the system will not allow two invoices to be processed for the same GDN.

- All new customers are subject to a credit check before being accepted.

- Within payroll a report is run each month of employees not paid in consecutive months to identify any possible omissions.

Design a test of control

Write a test of control for the following:

- GDNs are marked as ‘invoiced’ once invoiced, and the system will not allow two invoices to be processed for the same GDN.
  - **Test of Control** - For a sample of invoices, select the corresponding GDN and inspect (testing technique) for evidence that (what is being checked) the corresponding GDN is marked as ‘invoiced’ and that the system will not allow a further invoice to be raised (control)

- All new customers are subject to a credit check before being accepted.
  - **Test of Control** - For a sample of new customers, inspect (testing technique) a copy of the credit check assessments (control) for evidence that they were completed before customers were accepted (what is being checked)

- Within payroll a report is run each month of employees not paid in consecutive months to identify any possible omissions.
  - **Test of Control** - For a sample of months, inspect (testing technique) the report run (control) for evidence that employees not paid in consecutive months were followed up (what is being checked)

Manual vs automated controls

Students often assume that automated controls are always better than manual controls.
In fact, a well-designed manual control with can be appropriate and, in some cases, better than an automated control.

Consider the two examples of automated controls below – what could go wrong in their operation?

Example 1

- An audit client has several large customers in Europe to whom sales are made in Euros. The associated receivables balances are translated into GDP at the year-end date, using a rate which pulls automatically from a reputable third-party website. As this control is automatic, no review of the FX rate is performed.
- During the year, the third-party moved to a new website domain.

Example 2

- An audit client routinely posts an automatic deferred revenue journal each month, based on long-standing contract terms. As this control is automatic, no review of these journals is performed.
- During the year, there is a change to the terms of the customer contract and revenue should now be recognised immediately.

Manual vs automated controls

Example 1

- An audit client has several large customers in Europe to whom sales are made in Euros. The associated receivables balances are translated into GDP at the year-end date, using a rate which pulls automatically from a reputable third-party website. As this control is automatic, no review of the FX rate is performed.
- During the year, the third-party moved to a new website domain.

The incorrect FX rate may be used as the rate may be pulled from an outdated website. If there is no manual review, this may not be immediately identified. The receivables balance in the financial statements will be misstated.

Example 2

- An audit client routinely posts an automatic deferred revenue journal each month, based on long-standing contract terms. As this control is automatic, no review of these journals is performed.
- During the year, there is a change to the terms of the customer contract and revenue should now be recognised immediately.

The automatic deferred revenue journal is no longer appropriate due to the change in contract terms. If there is no manual review, this may not be immediately identified and both revenue and deferred income will be misstated.

Internal control testing
Assessment Approach

If you are asked to identify and evaluate **key controls**, and design **tests of controls** remember:

- A **key control** is one which is relevant to preventing or detecting and correcting material misstatements in the financial statements.
- Evaluate = **WHY** is it a key control
- When designing **tests of controls** remember to include the following:

1. A technique (enquire, inspect, observe, reperform)
2. The control you are looking at
3. What you are looking for

If you are asked to identify the **weakness**, analyse the **implications** and recommend **improvements**, the recommended approach is:

Step 1: Start by identifying **facts** from the scenario which indicate a control weakness. Highlight the facts as you read through the case.

Step 2: Once identified, you need to explain '**why**' it is a weakness (ie what implication could that weakness have for the business and the financial reporting process).

Step 3: **Recommend** a control that can reduce the risks.

The sales system

Phase	Objectives
Phase 1: Customer places order (sales department)	• Orders are only accepted from credit-worthy customers • All orders are recorded • Orders are recorded accurately • Orders accepted can be fulfilled • Orders are accepted for the best price
Phase 2: Order fulfilled and despatched (warehouse)	• Goods are only despatched for genuine orders • All goods despatched are recorded • Goods despatched are accurate in quantity and quality • All orders are despatched • All goods despatched are received by the customer
Phase 3: Customer invoiced for goods (by the finance department)	• All goods despatched are invoiced • Invoices are accurate • All invoices are recorded in the accounting system • Invoices are only raised once and not duplicated
Phase 4: Customer pays for the goods (finance department)	• All payments received are recorded • Theft/loss of cash is prevented • Payments are received for all invoices

The purchases system

Phase	Objectives
Phase 1: Place order (purchases department)	• Only goods required are ordered • Goods are purchased at the best price • Goods are purchased only from reliable and reputable suppliers • All orders are placed
Phase 2: Receive goods (warehouse)	• Goods accepted are of appropriate quality and quantity • Goods received are recorded • Goods are received on time
Phase 3: Invoice received (finance department)	• Invoices received are processed only for goods received • All invoices received • All invoices recorded
Phase 4: Payment made for goods (finance department)	• Payments are only made for genuine invoices • Payments are made only once • No cash is stolen • All payments are recorded • Payments are made on time

Group Activity

Task: Key Controls

See document, ‘Key Controls’, on Advantage

Key Controls

AA Workshop 2



The PPE system – key controls

Phase	Objectives
Phase 1: Requisitioning	• Capital expenditure plans must be approved by the relevant head of department. • Capital expenditure is approved by the board • High value items are individually approved.
Phase 2:Ordering	• POs are signed as authorised • Check planned spend matches actual figures
Phase 3: Receipt of Asset	• Order is matched to the delivery note.
Phase 4: Approval of Invoices	• Purchase invoices are signed as approved • Invoice are sequentially numbered
Phase 5: Processing of Invoices	• Maintain a reconciliation between the fixed asset register and nominal ledger

Internal controls testing – Question
SNB

If you are asked to identify the **weakness**, analyse the **implications** and recommend **improvements**, the recommended approach is:

Step 1: Start by identifying **facts** from the scenario which indicate a control weakness. Highlight the facts as you read through the case. **1 mark**

Step 2: Once identified, you need to explain '**why**' it is a weakness (ie what implication could that weakness have for the business and the financial reporting process). **2 marks**

Step 3: **Recommend** a control that can reduce the risks. **2 marks**

First issue
Call Centre Payroll

SNB has two payroll groups that are managed as follows:

- Client-facing and back-office functions – outsourced by each local location and not to be considered in the current project
- Call centre staff – all staff based in the UK and managed on an in-house payroll system, Payroll VIP ('VIP')

SNB's payroll department comprises six members of staff, all of whom have access to VIP. The human resources ('HR') team is responsible for the engagement and termination of employees and for maintaining the employee masterfile. Due to high staff turnover within the call centres, members of the payroll department spend one or two days a month assisting HR in processing changes to the employee masterfile.

Tutor debrief

Tutor debrief SNB

Suggested layout:

Control weakness	Implication	Recommendation
1 mark	2 marks	2 marks

.

- **Control weakness** – identify and briefly explain the control weakness in the scenario

Members of the payroll department spend one or two days a month assisting Human Resources ('HR') staff in processing changes to the employee masterfile.

- **Implication** – explain why this is a control weakness. Would an account in the financial statements be overstated or understated? Could the organisation be at risk of breaching any legislation? Give detail.

There is a lack of segregation of duties as a member of the payroll department could have the ability to manipulate data such as creating a fictitious employee or making changes to pay rates resulting in fraudulent activity.

- **Recommendation** – suggest a recommended control or improvement which could improve the situation. Try to be detailed in your recommendation, rather than giving a high level solution.

Only members of HR should have access to the employee masterfile and the ability to make changes to it.

Marked Assessment Practice Question

The Marked Assessment Practice Question will help you **consolidate what you've learned so far** and put it into practice in a 30-mark assessment-standard question.

The question will be **released tonight at 5pm after Workshop 2.**

Attempting this question **under assessment conditions** will help you to understand how you're getting on and prepare for your final assessment.

- Using the standard time, you will have approx. 37.5minutes
- Use only the permitted material for reference.

The question **must be submitted on Advantage by 10am** on the submission day.

The **solution will be provided with results** after workshop 3. With a full debrief provided during workshop 4.

Tutor Tips

- Read the question
- Consider how many marks are available – how many fully written points are required
- Select a suitable format – table, paragraphs, bullet points
- Review your answer before submitting

Wrap up

Next steps

- Marked Assessment Practice Question
- 2 more AA workshops.
- Before the next workshop you must cover modules 7, 8 and 9.

	Workshop 3	Workshop 4
Modules required	7, 8 & 9	10, 11 & 12

Tips

- Revisit any areas where you feel less confident.
- Attempt question practice – skills builders, Zester case studies & assessment style questions.
- Post queries on the discussion board.
- Practice using permitted materials

Getting help

Skills technical queries

- Class tutors
- Discussion boards

Administrative queries

- students@icas.com

Help Centre within Advantage

- Contains a lot of useful information

Any questions?

